Minster Disraeli's government severely criticized them for wasting money. Northbrook resigned over his growing differences with Disraeli's hawkish approach. The replacement, Lord Lytton, proved a disaster.

In 1876, the rains failed for a third year and the famine situation became acute in southern India. Lord Lytton, however, remained focused on fiscal control and even rebuked the Governor of Madras for being too generous. Sir Richard Temple, in the meantime, had learnt his lesson and had become a champion of the Malthusian approach. By 1877, the famine had spread across the Deccan and Rajasthan to the northwest, and yet, grain from surplus provinces was still being exported out to the rest of the world. The Great Famine would directly or indirectly kill 5.5 million people, more than two-thirds of them in British-controlled parts of the subcontinent. The experience was made worse by the fact that, amidst this crisis, Lord Lytton spent extravagantly on the Delhi Durbar of 1877, where Queen Victoria was proclaimed Empress of India in front of all the princes of the subcontinent. It was a shock that fundamentally undermined the moral standing of British rule in the eyes of many Indians, especially the educated. This resentment would lead to the formation of the Indian National Congress in 1885 and would ultimately build into the wider Independence Movement of the early twentieth century.

As the demands for independence gathered momentum, the colonial government began to look for ways to shore up legitimacy. One idea that gained favour was to follow the Mughals and build a new capital in Delhi as it was believed that the 'idea of Delhi clings to the Mohammedan mind'. The idea was not without its critics, but Viceroy Hardinge probably felt that this was his best chance to be remembered as the founder of a great city. Ultimately the factor that clinched the issue was the need for a grand sound-bite for the Durbar held in 1911 to commemorate the coronation of George V as Emperor of India. The proclamation was read out at Coronation Park, to the far north of the city. This is the same spot where Queen Victoria had been declared the Empress of India. A great stone column was raised to mark the event. Almost no tourist visits the place these days and one is likely to find oneself alone with the column and the stern statutes of